



New Chip Import Monitoring System And Its Impact On PLI Schemes

The government of India has made amendments to the rules that govern chip imports in the country and made it mandatory for the importers to feed data to the new system. Subsequently, the government is trying to make India '*atmanirbhar*' (self-dependent) for the manufacture of electronic goods in India. Will the new rules help or hinder? EFY tries to find out



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Chips, well they power anything and everything electronic. As a matter of fact, they have become more than just what powers an electronic device, and the proof of the pudding lies in the advertisements of laptops and smartphones that you see. More than a

bunch of companies now openly share the kind of chips and chipsets they are using in a particular device. The same, for every valid reason, helps an end consumer decide whether he wants to go with the device or not!

The government of India, in an update shared very recently, has amended the import policy for integrated chips. The Director General of Foreign Trade (DGFT) vide Gazette Notif. 5/2015-20 dated 10th May 2021 shared the amended import policy for Integrated Circuits (ICs) with HS Codes 85423100, 85423900, 85423200, 85429000, and 85423300. This in simple words means that the importers of chips need to post the details of their consignments on online 'Chip Import Monitoring System (CHIMS)', prior to filing the Bill of Entry. The objective of this amendment is to obtain the technical and statistical details of IC chips getting imported into the country.

There is one major problem (which might trigger many others)—India imports 100 percent of the chips used in the country! Second, there seems to be a China angle to the same. India imported about \$50.7 billion worth of electronics in 2019, and more than half of these imports were from China and Hong Kong. In fact, 20 percent of India's electronic items' imports are of microprocessor chips. Out of the \$10 billion worth of microprocessor chips imported in the country, around \$7 million worth of chips were imported from China.

The new amendments, slated to come